SALES GUIDE · OCTOBER 2026

CDM: one common language for the trade

What the Common Domain Model is, what the industry has built on top of it, and why clients should care. In plain English.

Free
Open source and free to use, run by FINOS (Linux Foundation)

3
Trade associations behind it: ISDA, ICMA and ISLA

Up to 50%
Lower ongoing reporting cost reported by DRR users

CDM · DRR · Collateral · Repo · Securities Lending · Smart Contracts

v1.0

THE ELEVATOR PITCH

CDM in 60 seconds

Every bank, fund, exchange and regulator describes the same trade in its own way. CDM gives the whole market **one shared, free description** of a trade and everything that happens to it, written as code that computers can run.

> Think of it as a **universal plug** for financial trades. Today every firm uses a different socket, so every connection needs an adapter. CDM is the one standard socket everyone can build to.

1
shared description of a trade, from the deal to its final payment

0
licence cost: it is open source, hosted by FINOS

9
regulatory regimes already running on it through ISDA DRR

? What it covers

- **Products:** derivatives (rates, credit, FX, equity, commodity), bonds, repo, securities lending
- **Trade life events:** new trade, amendment, partial close, novation, exercise, reset, payment, termination
- **Legal agreements:** ISDA Master and collateral documents, repo and securities lending agreements
- **Collateral:** what can be posted, haircuts, margin calls

✓ Why clients care

- **Fewer breaks:** both sides read the trade the same way
- **Cheaper compliance:** reporting rules come pre-coded, shared by the industry
- **Faster change:** a rule change is coded once, for everyone
- **Ready for what's next:** smart contracts, tokenization and AI all need clean, standard data

WHY IT EXISTS

The problem CDM solves

A single interest rate swap between two banks can be described differently in a dozen systems: the trading desk, operations, risk, collateral, the clearing house, the trade repository and the regulator. Each copy drifts. People spend their days making the copies agree.

TODAY

Everyone builds their own version

Bank A format · Bank B format · Fund format · CCP format · Regulator format

- Each firm reads the same rulebook and codes it separately
- Trade breaks and reconciliation teams on both sides
- Reports rejected, fines for misreporting
- Every rule change is a new project, at every firm

WITH CDM

Everyone speaks one language

One CDM trade · Same events · Same rules as code

- The rulebook is coded once, by the industry, and shared
- Both sides compute the same result from the same data
- Fewer rejected reports, cleaner audit trail
- Rule changes arrive as a code update, not a project

Operations

Less manual matching and fewer breaks between counterparties, custodians and clearing houses.

Compliance

Regulatory reports built from industry-agreed code, not each firm's own reading of the rules.

Technology

One model to build to, instead of many point-to-point translations between systems.

THE BASICS

So what exactly is CDM?

The **Common Domain Model** is a free, open-source blueprint of how financial products are traded and managed over their whole life. It is not a document to read: it is **code that computers run**.

1 A dictionary

The same words for the same things everywhere: a "notional", a "payer", a "reset date" mean exactly one thing.

2 A rulebook that runs

The logic is built in: how a partial close changes a trade, how a rate is reset, how a product is classified.

3 A trade's life story

Every event, from the first deal to the last payment, is recorded the same way, step by step.

4 Bridges to today's formats

Translations from existing industry formats such as FpML, so firms can start without replacing their systems.

Good to know

Question	Short answer
Who owns it?	Nobody owns it. It is hosted by FINOS, the open-source foundation for finance (part of the Linux Foundation). ISDA, ICMA and ISLA steer the content.
What does it cost?	Nothing. It is free to download and use, and contributions are open to anyone.
How is it delivered?	As ready-to-use software libraries: Java (complete) and Python (on PyPI).
Latest version?	CDM 7, put into production in August 2026, bringing together more than 130 improvements.
Is it a system?	No. It is the common model that systems are built on. Firms and vendors plug it into their own platforms.

CREDIBILITY

Who is behind it

CDM is backed by the trade associations that write the industry's standard legal agreements. That is its biggest selling point: it is the industry's own model, not one vendor's.

I ISDA

The derivatives association. Started CDM, and built Digital Regulatory Reporting (DRR), the collateral work and the smart contract framework on it.

I ICMA

The capital markets association. Brought repo and bonds into CDM, based on its Global Master Repurchase Agreement.

I ISLA

The securities lending association. Brought securities lending into CDM and linked its legal Clause Library to it.

F FINOS

The Linux Foundation's fintech arm. Neutral home for the code, the working groups and the release process.

How we got here

2017	ISDA sets out to create a common model for derivatives
2018 – 19	First digital version, then CDM 2.0 ready for use
2020	First pilots on distributed ledgers (trade clearing)
2021	ISDA, ICMA and ISLA sign an agreement to build CDM together; CDM connected to ISDA Create
2022 – 23	CDM moves to FINOS as open source; ISDA launches DRR; collateral work starts; CDM 5 released
2024 – 25	DRR goes global: EU, UK, Japan, Australia, Singapore, Canada, Hong Kong
2026	CDM 7 in production; first banks and market utilities live on DRR; AI tool to trace DRR decisions; smart contract library under way

THE BIG PICTURE

The CDM family: what's built on top

CDM is the foundation. The trade associations and partners build ready-to-use solutions on it. Each one solves a business problem a client already has.



Solution	Led by	In one line	Status
Digital Regulatory Reporting	ISDA	Trade in, regulator-ready report out	LIVE
ISDA Create + Clause Library	ISDA	Legal terms become data, not PDFs	LIVE
Collateral	ISDA, ICMA, ISLA	"Will you accept this collateral?" answered by code	LIVE
Repo & bonds	ICMA	Repo from execution to termination	LIVE
Securities lending	ISLA	Loan, collateral, return and billing	LIVE
Smart contracts	ISDA, Tokenovate	Shared, ready-made post-trade workflows	BUILDING
Tokenized assets	FINOS group	Adds token and blockchain details	EARLY

STAR PRODUCT

ISDA Digital Regulatory Reporting (DRR)

Regulators require firms to report every derivatives trade. The rules are long, change often and are read differently by every firm. **DRR turns the rules into code once, agreed by the industry, and shares it with everyone.**

01
Agree
Industry working groups agree how each rule should be read.

→

02
Code
That reading is written as code on top of CDM.

→

03
Run
Firms feed in their trades and get the report out.

→

04
Update
When rules change, everyone gets the same code update.

50%
Up to this much lower ongoing reporting cost, reported by users (ISDA & Capgemini, 2025)

100%
Reports accepted by the trade repository under Singapore (MAS) rules

98.2%
Reports accepted under the EU's EMIR Refit rules

Where it runs today

Regime	Live since
US (CFTC)	Dec 2022
Japan (JFSA) · EU (EMIR)	Apr 2024
UK (UK EMIR)	Sep 2024
Australia (ASIC) · Singapore (MAS)	Oct 2024
Canada	Jul 2025
Hong Kong (HKMA)	Sep 2025

Coming next

- **SFTR** (securities financing, EU/UK), led by ISLA and ICMA
- **MiFIR** transaction reporting, EU and UK
- **US SEC** security-based swaps
- **Switzerland** and **South Africa**

ISDA has committed to 14 rule sets across 9 jurisdictions. It is free to use; firms use it as their main reporting engine or as a check on their existing one.

New in Oct 2026: an AI "Tracer" agent that explains why each rule was coded the way it was, for audit.

DOCUMENTS AND COLLATERAL

From legal paper to live data

Collateral and legal agreements are where a lot of manual work hides. CDM turns the terms people negotiate into data systems can act on.

§ ISDA Create and the Clause Library

Firms negotiate ISDA documents online in ISDA Create. Common clauses come from a standard Clause Library. Since 2021, the agreed terms come out as **CDM data** and flow straight into trading, operations, collateral and risk systems. No one re-keys the contract.

ISLA has done the same for securities lending agreements (GMSLA), linking its Clause Library to CDM.

◉ CDM for Collateral

The pain: every firm keeps its own list of what collateral it accepts, in its own format. Onboarding a new counterparty means re-typing schedules.

The fix: CDM gives one standard way to say what is eligible, which haircut applies and what limits apply. Then a CDM function can answer the question **"is this collateral eligible, and at what haircut?"** automatically.

- Eligible collateral schedules as standard data
- Asset type, issuer, rating, maturity, currency, concentration limits
- Margin calls, collateral balances and positions
- A free online tool to build schedules, contributed to FINOS
- Works across derivatives, repo, securities lending, cleared and listed

A collateral software vendor has already built CDM into its collateral platform (2024). For a sales conversation: **"Your collateral schedules become shareable, checkable data."**

SECURITIES FINANCING

Repo, bonds and securities lending

Securities financing is a huge, manual, paper-heavy market. ICMA and ISLA brought it into CDM so the same benefits reach repo and lending desks.

R Repo and bonds (ICMA)

- Fixed and floating rate, term and open repo, evergreen and extendible
- The full life cycle: rate changes, repricing, interest payments, collateral substitution, partial delivery, pair-offs, termination
- Data needed for bond settlement
- Built on the industry's standard repo agreement

Phase 2 completed in 2023. ICMA runs a yearly CDM Showcase, including tokenized repo demos.

L Securities lending (ISLA)

- A loan from start to finish: agreed, collateralised, allocated, settled, re-allocated, returned and billed
- Cash and non-cash collateral, fixed or floating fees
- Legal Clause Library linked to CDM
- Pre-trade link from FIX messages into CDM

A member firm went live in production with CDM in 2024. A CDM handbook for the market followed in 2025.

The regulatory hook: SFTR

The EU and UK Securities Financing Transactions Regulation (SFTR) requires repo and lending trades to be reported. ISLA and ICMA are leading the work to add SFTR to DRR in 2026. **That is the same "rules as code" story as derivatives, coming to securities financing.** Other regulatory hooks on the industry's radar: US bilateral repo reporting and US securities lending reporting.

WHAT'S NEXT

Smart contracts, tokens and AI

The next wave is automating what happens **after** the trade, and getting ready for tokenized markets. All of it needs one thing first: clean, standard data. That is CDM.

S CDM smart contracts

ISDA, with Tokenovate, is building a **free library of ready-made post-trade workflows** on CDM. It starts with interest rate resets, which cover about two thirds of the clauses in ISDA's 2021 interest rate definitions.

- Small reusable steps: get the rate, adjust dates, compound, fix the rate
- Every step recorded, so results can be audited and replayed
- Starts from the legal definitions, not from blockchain code
- Runs on any technology, not tied to one ledger

T Tokenized assets

A FINOS working group is adding token and blockchain details to CDM assets and settlement. Tokenized money market funds used as collateral are a likely first use. CDM has been used in ledger pilots since 2020.

AI AI-ready data

AI tools need consistent, well-described data. CDM provides exactly that, and ISDA already uses AI to explain DRR's decisions. ISLA plans to update its Clause Library to support AI contract review.

CDM 7: the latest release (August 2026)

- Easier, reviewable translation of existing trade confirmations into CDM
- A new, simpler JSON data format
- More legal agreements and more collateral and securities lending workflows
- The first smart contract building blocks

PROOF POINTS

Who has adopted CDM

Adoption is led by regulatory reporting. Everything below is from public announcements by the firms, ISDA or FINOS.

Banks

Firm	What they did	When	Status
JPMorganChase	First major US bank to use CDM and DRR as its **main** regulatory reporting engine; also a CDM maintainer at FINOS	2024 – 25	LIVE
BNP Paribas	Implemented DRR for the US CFTC rules and tested it end to end with DTCC	Nov 2022	LIVE
Natixis CIB	Adopted DRR, putting CDM and DRR into production; plans to extend across markets and jurisdictions	Apr 2026	LIVE
Goldman Sachs	Supports DRR development; testing and deploying the framework	Ongoing	ACTIVE
Standard Chartered, Société Générale, Pictet	Named by ISDA among the firms backing DRR development	Ongoing	ACTIVE
RBC, BMO	Support the FINOS Open Source Regulatory Reporting project, built on CDM and DRR	2025	ACTIVE
Barclays	Built a prototype for processing interest rate swaps on CDM	Earlier	PILOT

Market infrastructure

Organisation	What they did	When	Status
JSCC (Japan Exchange Group)	First clearing house in the world, and first Japanese firm, to adopt DRR and CDM; running in parallel with its current system on live data	Jun 2025	PARALLEL
LSEG (TradeAgent)	Built DRR into its post-trade reporting utility, so all its clients benefit	Mar 2026	LIVE
DTCC	Connected its global trade repository test environment to DRR; working with ISDA to bring DRR to its MiFIR reporting service	2024 – 25	ACTIVE
Clearstream	Showed a repo implementation on CDM at ICMA's repo committee	Apr 2022	SHOWCASED

PROOF POINTS

Securities finance and the builders

Beyond reporting, firms are using CDM for securities lending and collateral, and a group of specialist firms build the tools everyone else uses.

Securities lending and collateral

Firm	What they did	When	Status
VERMEG (COLLINE)	First firm to build CDM into a collateral system: reads digital initial margin agreements negotiated on ISDA Create. Several other firms in testing	Jun 2024	LIVE
An ISLA member firm	First production use of CDM for securities lending (name not published)	May 2024	LIVE
Pirum, Sharegain	Backed ISLA's work on a new CDM code generator for securities lending	2024	ACTIVE
EquiLend, FIS, Pirum	Demonstrated trade, allocation and post-trade flows in CDM in ISLA's first pilot	Dec 2020	PILOT

The builders: vendors and partners

Firm	Role
REGnosys	Built the digital CDM for ISDA since 2018; its Rosetta platform runs DRR and was the first DRR-native reporting platform
TradeHeader	CDM maintainer; wrote the official FINOS CDM training course (1,000+ learners); co-built the Python version
CloudRisk, FTAdvisory	Co-built the Python code generator behind the official CDM Python package
Tokenovate	CDM-native post-trade platform; builds ISDA's smart contract library; chairs the Tokenized Assets group
Gentek AI	Co-developed ISDA's AI DRR Tracer Agent (Oct 2026)
Linklaters	Partner with ISDA on ISDA Create, which outputs CDM data (2021)
Digital Asset	Ran the first CDM trade clearing pilot on a ledger with ISDA (2020)
Fragmos Chain (on R3 Corda)	Post-trade trial on CDM with six banks: confirmations in about 6 minutes
Capgemini	Studied DRR adopters with ISDA: up to 50% lower ongoing cost (2025)
MKM Research Labs	Chairs the Physical Risk group bringing climate risk data into CDM

THE FULL MAP

Everything built on top of CDM

One place to see it all: the industry solutions, the free open-source tools, the commercial platforms and the groups that keep CDM growing.

1 Industry solutions

- **ISDA DRR:** reporting rules as code, 9 regimes live
- **ISDA DRR Tracer Agent:** AI that explains each rule decision
- **ISDA Create + Clause Library:** legal terms out as CDM data
- **ISDA collateral:** digital margin agreements, eligible collateral, margin calls
- **ISDA smart contract library:** ready-made workflows, starting with resets
- **ICMA repo and bonds:** full repo life cycle
- **ISLA securities lending + GMSLA Clause Library**

2 Free open-source tools (FINOS)

- **CDM in Java and Python**, ready to use
- **Open Source Regulatory Reporting (ORR)** project
- **Collateral Object Builder:** build schedules on screen
- **Eligibility check:** "will you accept this collateral?"
- **Translations in:** from FpML confirmations and FIX messages
- **Official CDM training course** (90 minutes, self-paced)

3 Commercial platforms

- **REGnosys Rosetta:** design, test and run CDM and DRR
- **LSEG TradeAgent:** DRR as a reporting utility
- **DTCC trade repository:** DRR testing connection
- **VERMEG COLLINE:** CDM-ready collateral system
- **Tokenovate:** CDM-native post-trade automation

4 Working groups (open to all)

- **Steering** and **Contribution Review**
- **Derivatives** and **Structured Products**
- **Collateral** and **Technology Architecture**
- **Tokenized Assets** and **Physical Risk** (climate)
- **ISLA groups:** securities lending, trading, legal digitisation
- **ISDA DRR** working groups per regulation

> The sales takeaway: **CDM is not one product, it is a platform the whole industry builds on.** A client who adopts it gets every solution on this page, now and in future, on the same data.

TALKING POINTS

What to say to whom

Lead with the client's pain, not the technology. Here is the one-line hook and the follow-up for each audience.

1 Sell-side banks

Hook: "Stop coding the same reporting rules as every other bank."

- Lower cost to report across many regimes
- Fewer rejected reports and fines
- Faster response to rule changes

2 Buy-side firms

Hook: "See your trades exactly as your dealer sees them."

- Fewer breaks with counterparties
- Standard collateral schedules
- Cheaper delegated reporting checks

3 Clearing houses & exchanges

Hook: "Offer all your members one standard, ready to use."

- Reporting as a service for members
- Standard data in and out
- Ready for tokenized settlement

4 Securities finance desks

Hook: "Repo and lending, finally digital end to end."

- Full life cycle in one model
- SFTR reporting on the way
- Collateral checks automated

5 Technology vendors

Hook: "Build once to the industry standard."

- One model instead of many client formats
- Free and open, no licence fees
- Faster client onboarding

6 Operations & compliance heads

Hook: "Every number traceable back to the rule."

- Clear audit trail
- Industry-agreed interpretation
- Less manual reconciliation

HANDLING QUESTIONS

Questions clients will ask

Straight answers to the questions that come up most. Being honest about limits builds trust.

"Is it really free?"

Yes. CDM is open source under FINOS. DRR is also free to use. The cost is the work to connect your systems to it.

"Do we have to replace our systems?"

No. Most firms start by translating their existing data into CDM at one point, such as before reporting, and grow from there.

"Is it mature enough?"

Yes for derivatives reporting: live across 9 regimes, with banks and market utilities in production. Smart contracts and tokenization are newer.

"Who maintains it if we depend on it?"

FINOS hosts it, with ISDA, ICMA and ISLA steering, open working groups, and a regular release schedule with supported versions.

"Does it cover cash equities on exchanges?"

Not as a trading use case. CDM is strong on equity derivatives (swaps, forwards, options) and equities used as collateral or lent. Exchange cash-equity trading is not its focus.

"Is it a messaging network like SWIFT?"

No. It describes the trade and its logic. It can sit behind existing messages and formats, and translations from FpML exist.

"What about SFTR and MiFIR?"

Both are being added to DRR in 2026. The products themselves (repo, lending) are already modelled in CDM.

"Where's the proof of value?"

An ISDA and Capgemini study (2025): up to 50% lower ongoing cost, very high report acceptance, and faster roll-out of each extra regime.

KEEP THIS HANDY

One-page cheat sheet

”CDM is the industry’s free, shared language for trades. ISDA, ICMA and ISLA build ready-made solutions on it, like regulatory reporting that’s already live in 9 regimes. Clients spend less on compliance, have fewer breaks, and are ready for what’s next.”

Three numbers to remember

- **Up to 50%** lower ongoing reporting cost
- **9** regulatory regimes live on DRR
- **3** trade associations behind CDM

Three things to avoid saying

- "It replaces your systems" (it connects to them)
- "It covers every product" (cash equity trading is not its focus)
- "SFTR is live" (it is being built in 2026)

Glossary

Term	Meaning
CDM	Common Domain Model: the shared, open-source model of trades and their life events
DRR	ISDA Digital Regulatory Reporting: reporting rules written as code on CDM
FINOS	Fintech Open Source Foundation, part of the Linux Foundation; CDM's home
ISDA / ICMA / ISLA	The trade associations for derivatives, capital markets (repo, bonds) and securities lending
ISDA Create	ISDA's online platform for negotiating legal documents
EMIR, CFTC, MAS, ASIC, JFSA, HKMA	Derivatives reporting rules in the EU, US, Singapore, Australia, Japan and Hong Kong
SFTR	EU/UK rules for reporting repo and securities lending
MiFIR	EU/UK rules for reporting transactions in financial instruments
FpML	An existing XML format for derivatives that CDM can translate from
Smart contract	Code that carries out a contract's terms automatically

WHERE THIS COMES FROM

Sources

All facts in this guide come from public material by FINOS, ISDA, ICMA, ISLA and trade press, checked in October 2026. Firms are named only where they or ISDA/FINOS have announced it publicly.

Topic	Source
CDM 7 release	FINOS blog, "CDM 7: A Major Evolution of the Common Domain Model" (Aug 2026)
CDM overview and timeline	ISDA CDM info hub (isda.org/isda-solutions-infohub/cdm); cdm.finos.org
DRR regimes and roadmap	ISDA DRR info hub; ISDA press releases 2025–2026
DRR benefits figures	ISDA & Capgemini, "Industry Perspectives on the ISDA DRR" (Nov 2025)
DRR Tracer Agent	ISDA press release (20 Oct 2026)
Adopters and builders	ISDA press releases (DRR 1.0 Nov 2022; VERMEG Jun 2024; LSEG Mar 2026; Natixis Apr 2026); JPMorganChase technology blog; JPX/JSCC press releases (2025); FINOS blog "From Standards to Impact"; DTCC press release (Apr 2024); ISLA CDM pages and showcase agendas; ICMA CDM page
Collateral	"CDM Collateral Use Case Overview 2026" (cdm.finos.org); ISDA collateral initiatives
ISDA Create	ISDA press release, "CDM Integrated into ISDA Create" (Oct 2021)
Repo and bonds	ICMA CDM page; ICMA CDM Showcase 2025
Securities lending	ISLA "CDM Explained" (2024); ISLA Clause Library press release
Smart contracts	"CDM Smart Contracts Overview 2026" (cdm.finos.org)
Tokenized assets	FINOS CDM Tokenized Assets Working Group page
Adoption view	Risk.net, on CDM take-up